

Global Fund Manager Survey

Pain trades: duration, dividend, defensives

BofA July Global Fund Manager Survey

Bottom line: investor sentiment more bullish driven by optimism on macro “boom”, AI capex, dovish Fed; FMS cash levels fall from 4.1% to uber-low 3.6%, US equity OW biggest since Dec’24, as forecasts for “boom” highest since Feb’22; BofA Bull & Bear Indicator @ extreme bull reading of 9.4... says reduce equity & high-beta exposure, summer upside for risk assets to remain stymied by bull positioning.

FMS on Macro: record 54% predict no landing for economy (39% soft & 2% hard), CPI expectations lowest since Jan’25 as FMS oil price forecast slumps from \$86/bbl to \$71/bbl; asked will Fed hike before midterms 83% say no, i.e. Fed stays dovish; outcome of US midterms... 44% say DEM House/GOP Senate, followed by DEM sweep (27%).

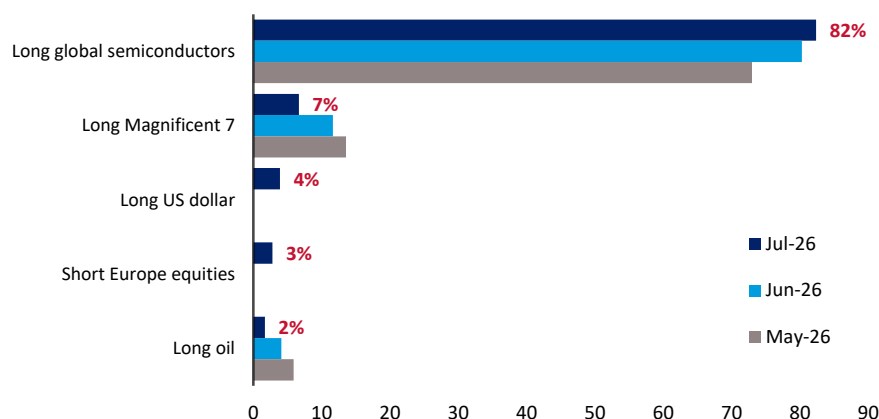
FMS on AI: investors say long global semis most crowded trade (huge 82% - Chart 1) & AI hyperscaler capex most likely source of credit event (48%), trimmed July tech longs to hedge AI risks; but no one short... asked if AI stocks in bubble 48% said no (vs. 43% yes), asked if an AI hyperscaler will announce a capex cut... 61% said no (vs. 28% yes).

FMS on AA: investors adding to equity length via US, Eurozone, healthcare, industrials (most OW since Jul’21), cutting UK (most UW since Aug’20), EM, commodities, energy (largest drop since Jun’10), staples (most UW since Feb’14); note first time since May’17 investors predict low-dividend yield stocks to outperform high-dividend yielders.

FMS Contrarian Trades: based on extreme FMS positions best contrarian trades for a surprise hawkish Fed = long staples & gold, short semis & healthcare, and for “peak boom” = long bonds, UK & high dividend yielders, short industrials & banks.

Chart 1: 82% of FMS investors say “long global semiconductors” is world’s most crowded trade

What do you think is currently the most crowded trade?



Source: BofA Global Fund Manager Survey

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Trading ideas and investment strategies discussed herein may give rise to significant risk and are not suitable for all investors. Investors should have experience in relevant markets and the financial resources to absorb any losses arising from applying these ideas or strategies.

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Notes to Readers

Source for all tables and charts:
BofA Fund Manager Survey,
DataStream

Survey period July 2nd to 9th, 2026

210 panellists with \$555bn AUM participated in the survey. 181 participants with \$484bn AUM responded to the Global FMS questions and 109 participants with \$274bn AUM responded to the Regional FMS questions.

How to join the FMS panel

Investors/clients are encouraged to sign up to participate in the Survey. This can be done by contacting [Michael Hartnett](#) or your BofA sales representative.

Participants in the survey will continue to receive the full set of monthly results but only for the relevant month in which they participate.

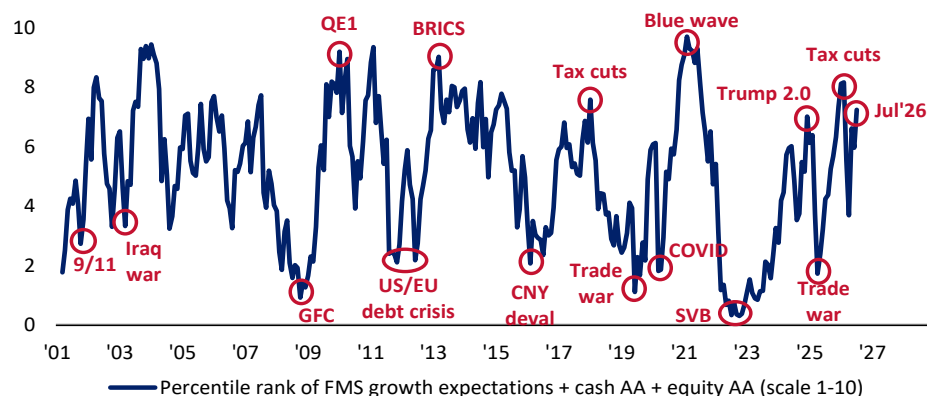
OW: overweight; UW: underweight

AA: asset allocation

Charts of the Month

Chart 2: BofA Global FMS investor sentiment most bullish since Feb'26

Percentile rank of FMS growth expectations, cash level, and equity allocation



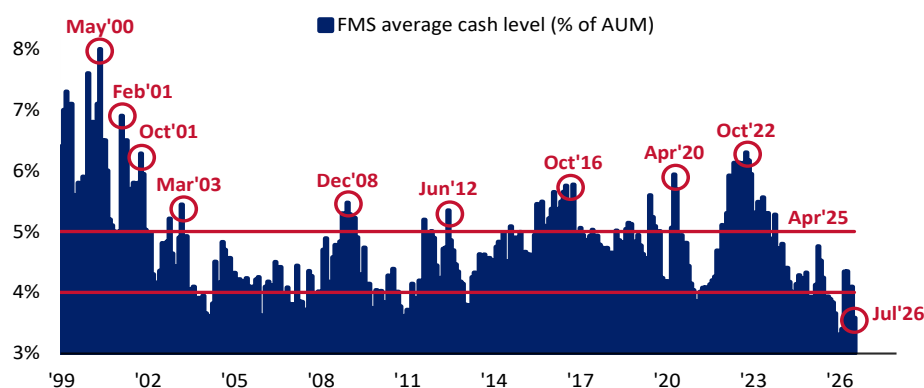
Source: BofA Global Fund Manager Survey

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July BofA Global FMS shows investors are the most bullish since Feb'26; our broadest measure of FMS sentiment, based on cash levels, equity allocation, and global growth expectations, rose to 7.2 from 6.0.

Chart 3: Cash level falls to 3.6% from 4.1%

BofA FMS average cash level (% of AUM)



Source: BofA Global Fund Manager Survey

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BofA FMS cash level dropped from 4.1% to uber-low 3.6% of AUM (lowest since Feb'26), triggering a sell signal on the BofA Global FMS Cash Rule ("sell" when cash at or below 4.0%).

Table 1: On past occasions of FMS cash 3.6% or lower... stocks -1% in two weeks that followed

Average returns for MSCI ACWI & US Treasuries in 1wk/2mo after certain FMS cash levels

FMS cash %	# of signals since 2002	Global equities		Treasuries	
		2 weeks	1 month	2 weeks	1 month
3.5	11	-1.1%	-1.5%	0.6%	0.6%
3.6	16	-0.8%	-0.5%	0.6%	0.4%
3.7	24	-0.5%	0.1%	0.5%	0.4%
3.8	39	-0.1%	0.5%	0.3%	0.1%
3.9	57	-0.1%	0.6%	0.2%	0.1%
4.0	71	0.1%	0.3%	0.3%	0.3%

Source: BofA Global Fund Manager Survey, Bloomberg

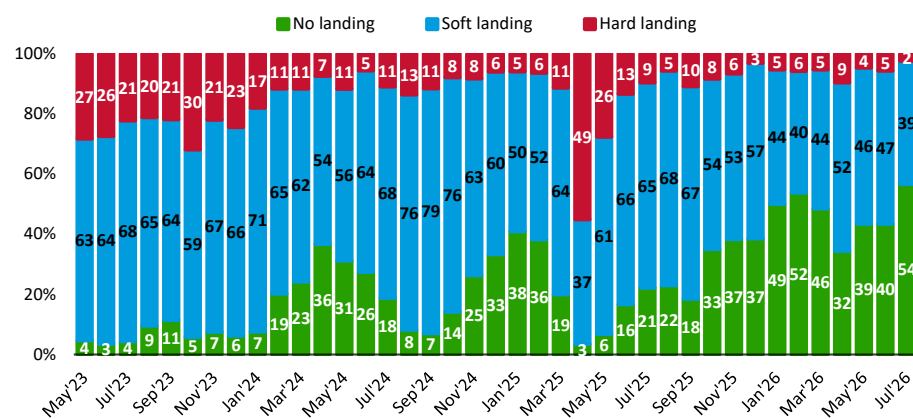
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Note FMS cash level fell to 3.6% or lower in 16 prior instances since 2002... on average, stocks fell 1% in the two weeks after (-0.5% in the month after) and Treasuries outperformed.



Chart 4: 54% say "no landing," 39% say "soft landing," 2% say "hard landing"

What is the most likely outcome for the global economy in the next 12 months?



Source: BofA Global Fund Manager Survey

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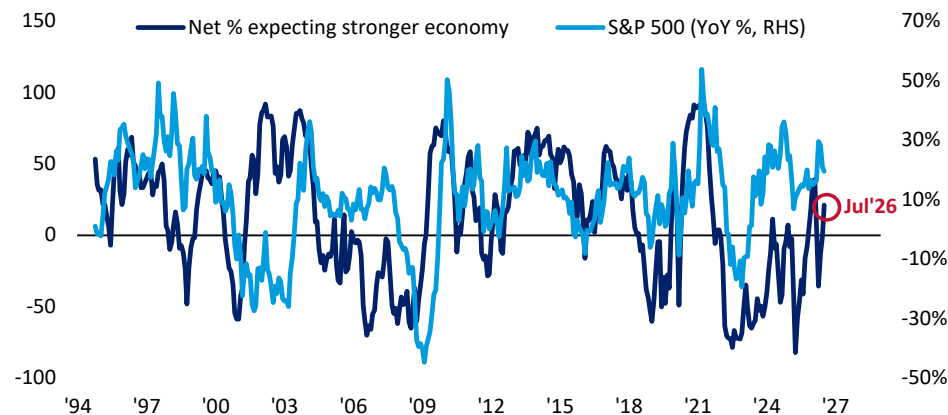
Asked what the most likely outcome for the global economy is in the next 12 months...

A record 54% of investors expect "no landing".

Another 39% expect a "soft landing," while a record-low 2% expect a "hard landing."

Chart 5: Global growth expectations rise to 5-month high

Net % expect stronger global economy and S&P 500 (YoY %)



Source: BofA Global Fund Manager Survey, Bloomberg

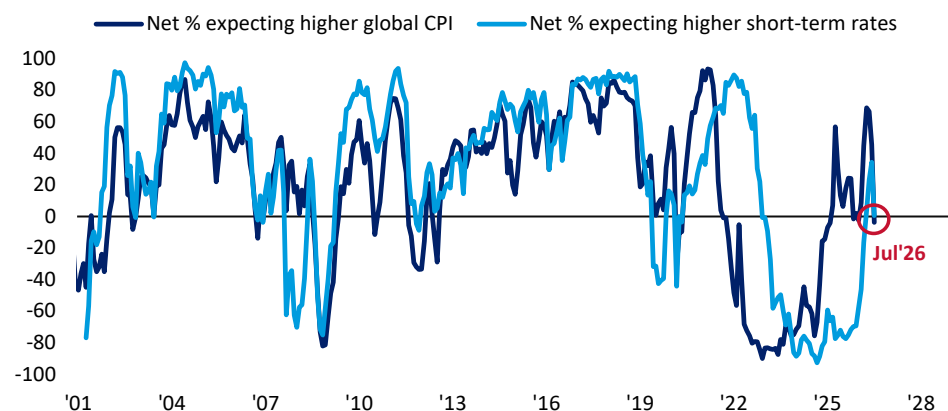
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Global growth optimism rose to a 5-month high in July... net 21% expect a stronger economy.

Macro expectations are catching up to US equity performance.

Chart 6: Consensus flip from higher to lower inflation tempering rate hike expectations

Net % expecting higher global CPI and net % expecting higher short-term rates



Source: BofA Global Fund Manager Survey

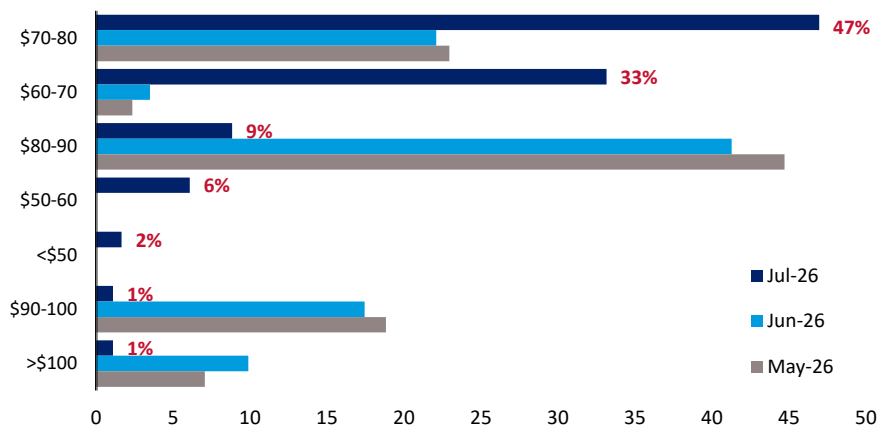
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On inflation... net 4% of July FMS investors expect *lower* global inflation, a big flip from last month when net 45% expected *higher* inflation.

The outlook on rates fell alongside the CPI outlook... net 1% expect higher short-term rates, down from 34%.

Chart 7: FMS oil forecast drops to \$71/bbl by end '26 (from \$86)

In which of the following ranges do you expect the price of oil to trade in by year-end 2026?



Source: BofA Global Fund Manager Survey

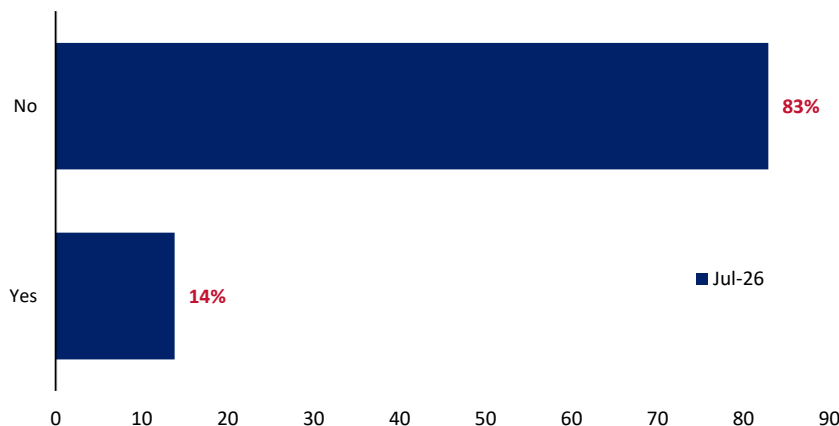
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Inflation expectations were lowered as FMS end-year oil price forecast slumped 17% from \$86/bbl in June (on a weighted-average basis) to \$71/bbl.

Just 2% of investors expect oil to trade above \$90/bbl.

Chart 8: 83% say no Fed hike before November midterm election

Will the Fed hike before the November US midterms?



Source: BofA Global Fund Manager Survey

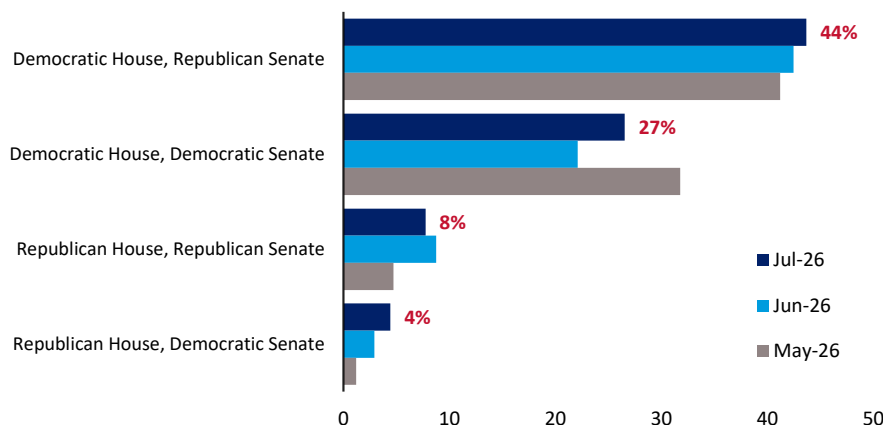
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On policy... asked whether the Fed will hike before US midterms, 83% said no (14% said yes).

Separately when asked how the Fed will change the Fed Funds rate in the next year, just 36% said they expected at least one hike and 29% expect no change.

Chart 9: 44% expect DEM House/GOP Senate post-midterms, 27% say DEM sweep

What outcome do you expect from the 2026 US midterm elections?



Source: BofA Global Fund Manager Survey

BofA GLOBAL RESEARCH

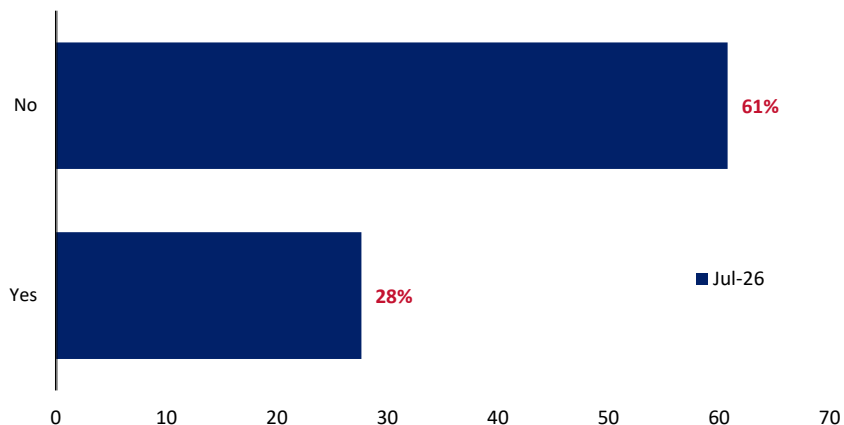
On the US midterm elections (Republicans currently hold majorities in both the House and Senate)...

Expectations for a DEM sweep (Democratic House & Democratic Senate) rose to 27% from 22%, but FMS investors say the most likely outcome is a split Democratic House & Republican Senate (44%).



Chart 10: 61% of FMS say no hyperscaler capex cut in '26

Will one of the AI hyperscalers announce a cut in capex in 2026?



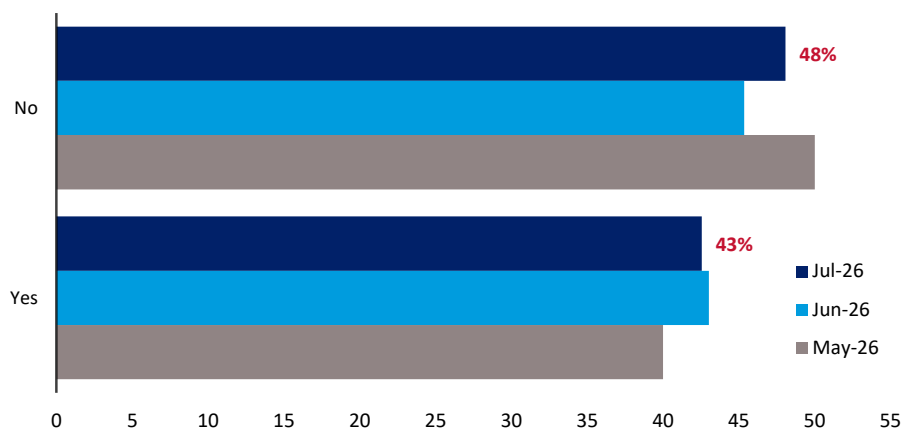
Source: BofA Global Fund Manager Survey

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FMS investors also remain positive on the outlook for AI... asked if one of the AI hyperscalers would announce a cut in capex in 2026, the majority (61%) of FMS investors expect no cut to hyperscaler capex (vs 28% "yes").

Chart 11: 48% of FMS investors think no AI bubble (vs 43% yes)

Do you think that AI stocks are in a bubble?



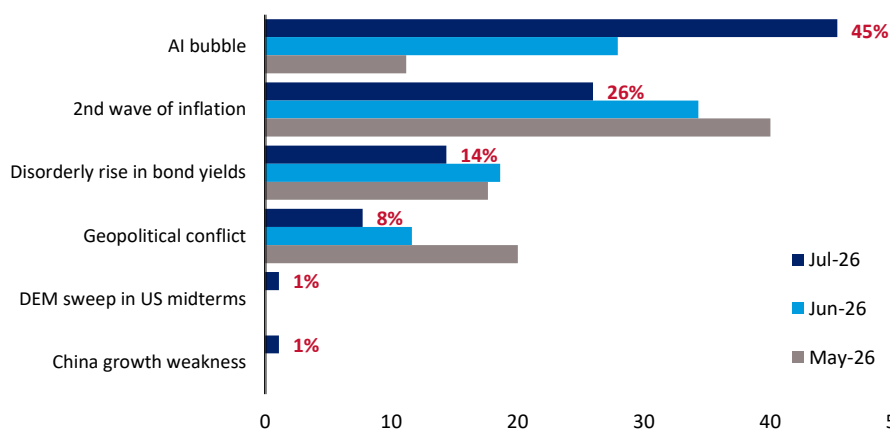
Source: BofA Global Fund Manager Survey

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A greater share of FMS investors also continue to believe that AI stocks are not in a bubble (48% vs the 43% that say "yes").

Chart 12: 45% of FMS investors say AI bubble is the biggest tail risk

What do you consider the biggest 'tail risk'?



Source: BofA Global Fund Manager Survey

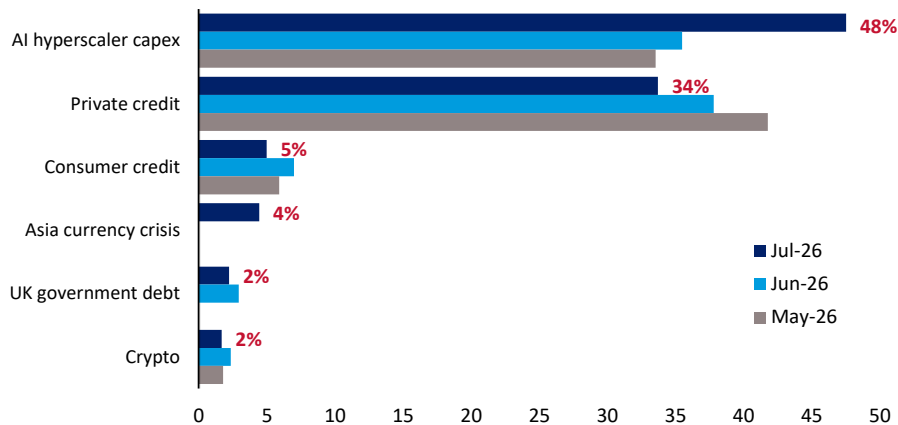
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"AI bubble" rose to the top spot for the biggest tail risk in July per 45% of FMS investors (up from 28% last month).

In June, the #1 perceived tail risk was '2nd wave inflation'... this has dropped to #2 (26% of investors, from 34%).

Chart 13: AI hyperscaler capex = #1 most likely source of a systemic credit event

What is the most likely source of a systemic credit event?



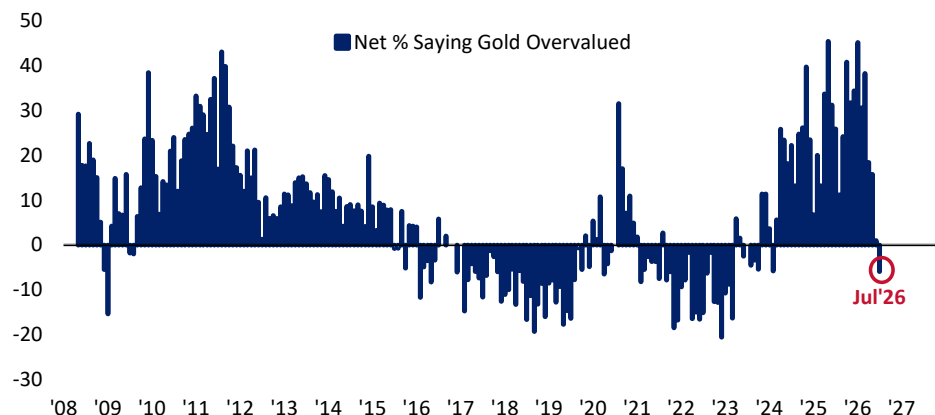
Source: BofA Global Fund Manager Survey

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July also saw 48% of FMS investors say that 'AI hyperscaler capex' is the most likely source of a systemic credit event, followed by 34% 'private credit.'

Chart 14: Gold deemed most undervalued since Mar'23

Net % say gold is overvalued



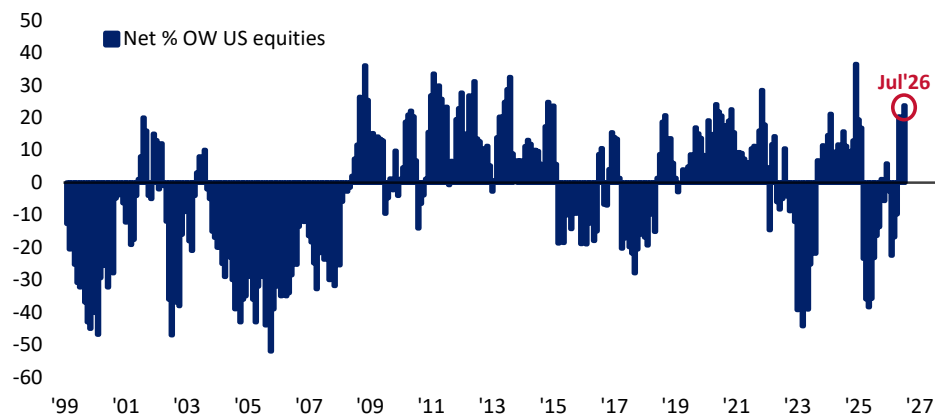
Source: BofA Global Fund Manager Survey

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Asked about the current price of gold, net 6% of FMS investors say gold is undervalued (most undervalued since Mar'23).

Chart 15: FMS investors most OW US equities since Dec'24

Net % overweight US equities



Source: BofA Global Fund Manager Survey

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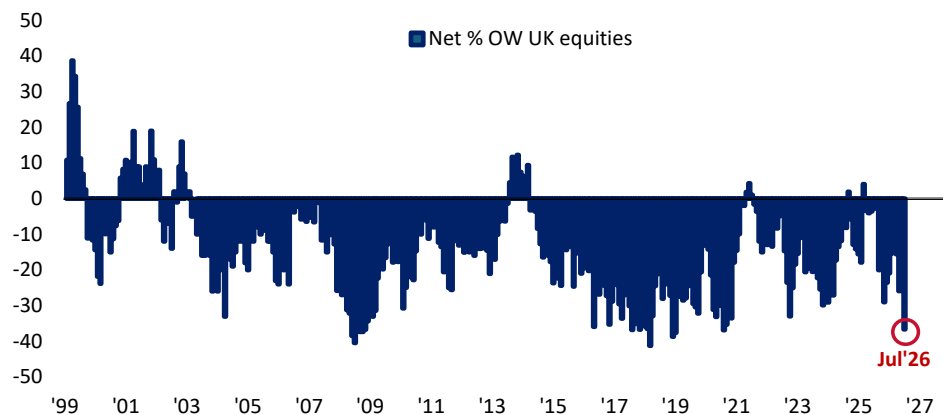
On asset allocation...

FMS investors increased their overweight in US equities to net 24% OW, the biggest OW since Dec'24 and the 3rd highest US weighting in the past 5 years.



Chart 16: FMS investors most UW UK equities since Aug'20

Net % overweight UK equities



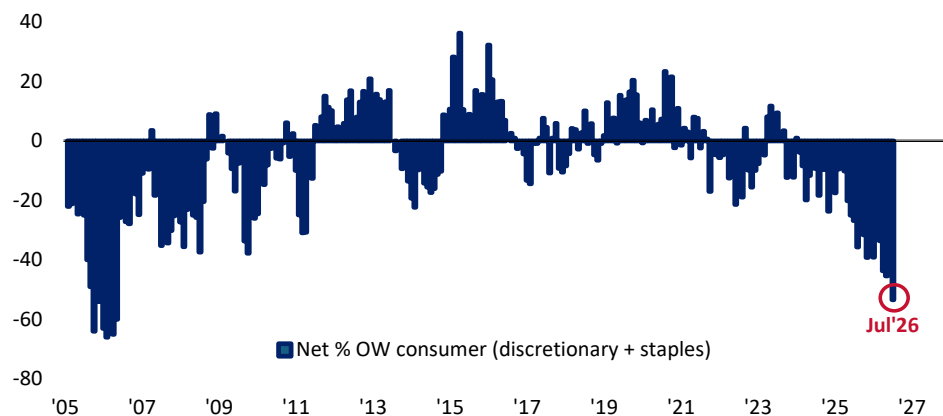
Source: BofA Global Fund Manager Survey

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On the other hand, FMS investors further reduced their allocation to UK equities to net 37% UW, the lowest allocation since Aug'20.

Chart 17: Lowest FMS allocation to consumer stocks since May'06

Net % OW staples + net % OW discretionary



Source: BofA Global Fund Manager Survey

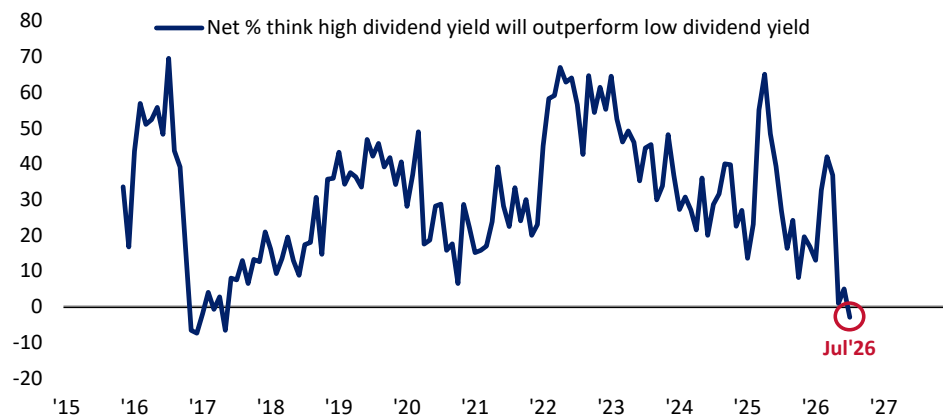
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On sector allocation...

FMS investors were net 53% underweight consumer sectors (staples + discretionary), the lowest allocation since May'06.

Chart 18: FMS says low-dividend yield > high-dividend yield for first time since May'17

Net % think high dividend yield will outperform vs low dividend yield stocks



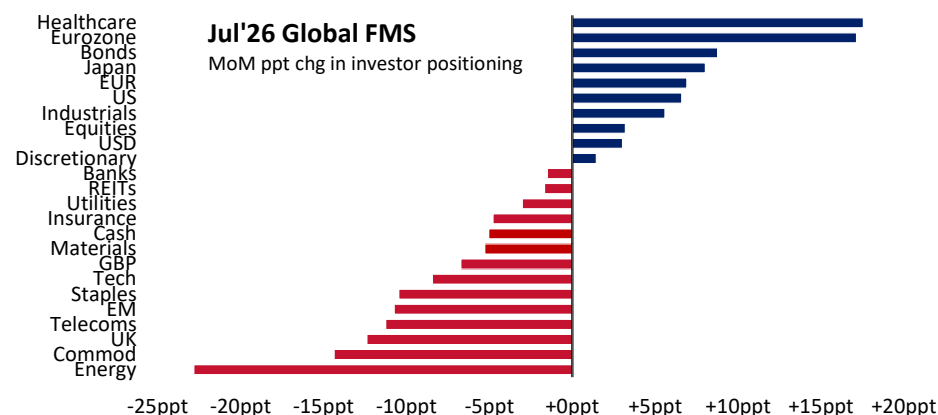
Source: BofA Global Fund Manager Survey

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For the first time since May'17, FMS investors expect low-dividend yield stocks to outperform high-dividend yield stocks.

Chart 19: July rotation into healthcare, EU and bonds vs out of energy, commodities and UK

Monthly change in FMS investor positioning



Source: BofA Global Fund Manager Survey

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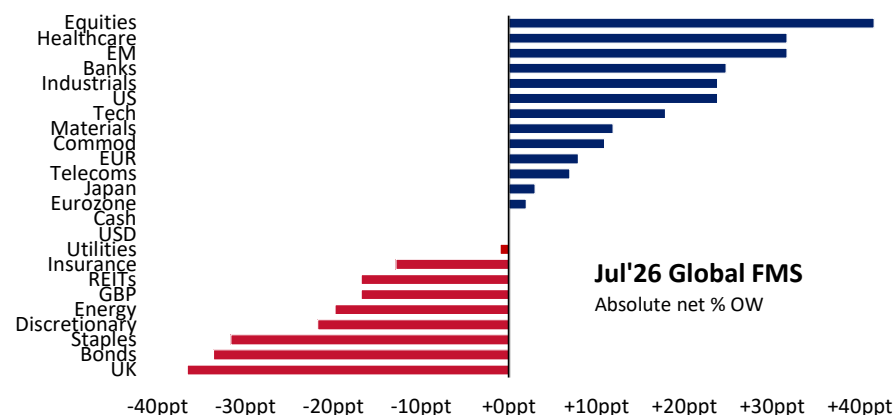
This chart shows July's monthly changes in FMS investor allocation.

Investors increased allocation to healthcare, Europe, and bonds...

... and reduced allocation to energy, commodities, and UK.

Chart 20: FMS most OW stocks, EM and healthcare vs most UW UK, bonds and staples

FMS absolute positioning (net % overweight)



Source: BofA Global Fund Manager Survey

BofA GLOBAL RESEARCH

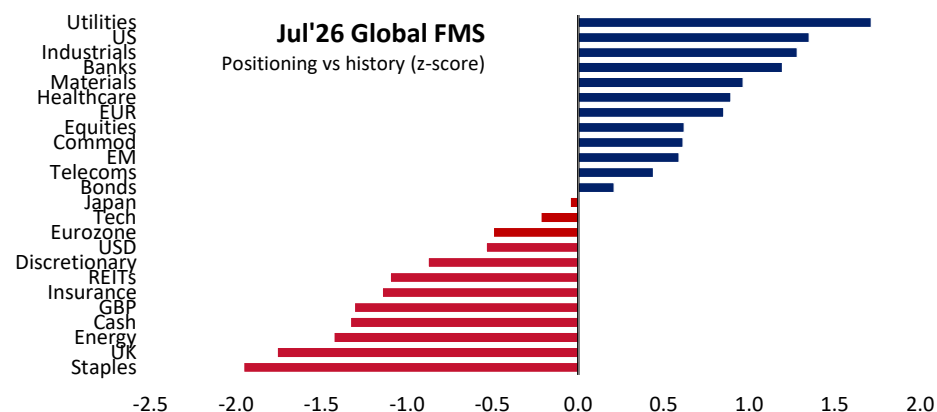
This chart shows absolute FMS investor positioning (net % overweight).

In July, investors are most overweight equities, EM, and healthcare...

... vs. most underweight UK, bonds, and consumer staples.

Chart 21: Relative to history, OW utilities, US and industrials vs UW staples, UK and energy

FMS positioning vs history (z-score)



Source: BofA Global Fund Manager Survey

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This chart shows absolute FMS investor positioning (net % overweight).

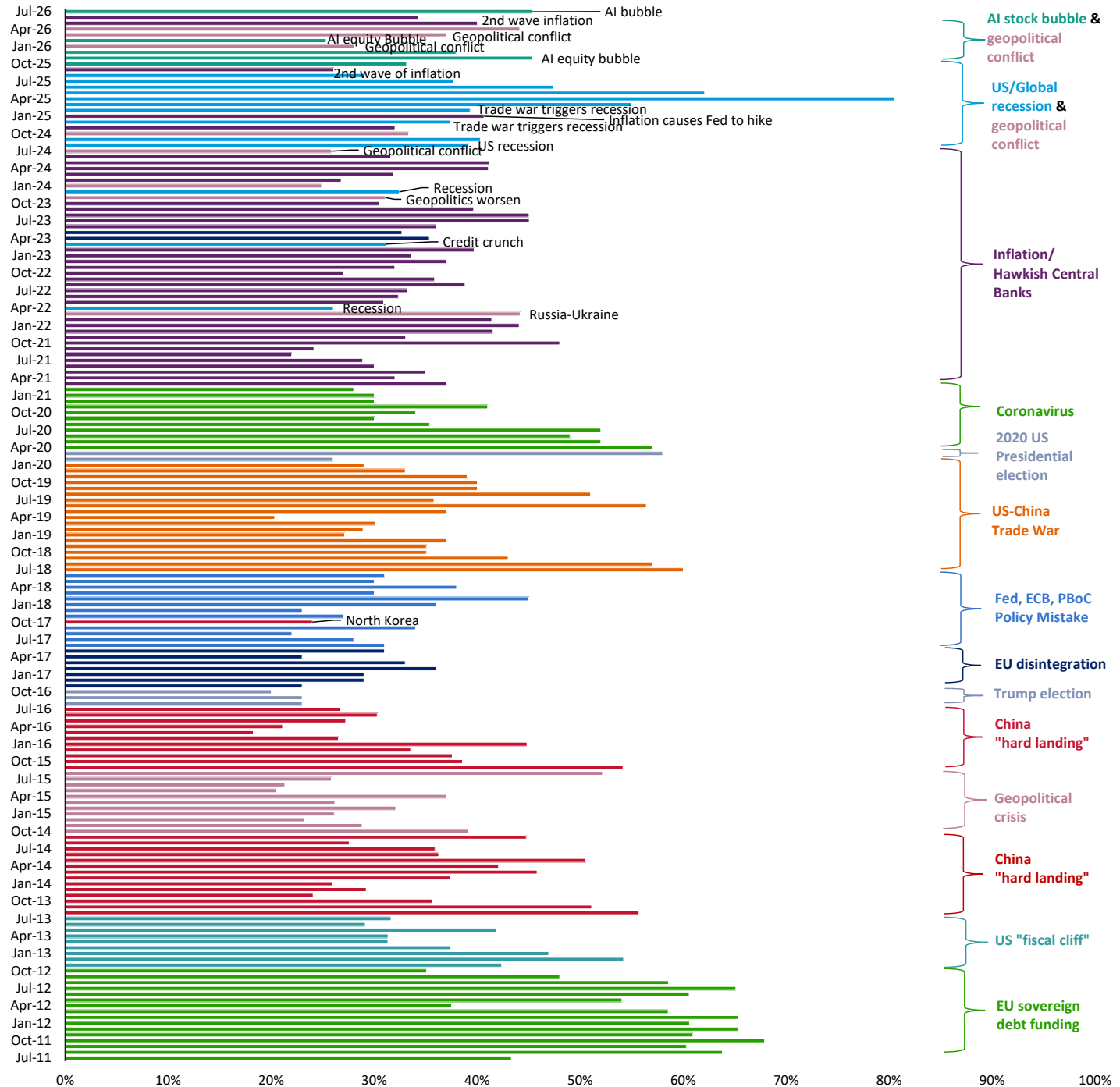
In July, investors are most overweight utilities, US, and industrials...

... vs. most underweight consumer staples, UK, and energy.



Chart 22: Evolution of Global FMS “biggest tail risk”

History of Global FMS “biggest tail risk” answers



Source: BofA Global Fund Manager Survey

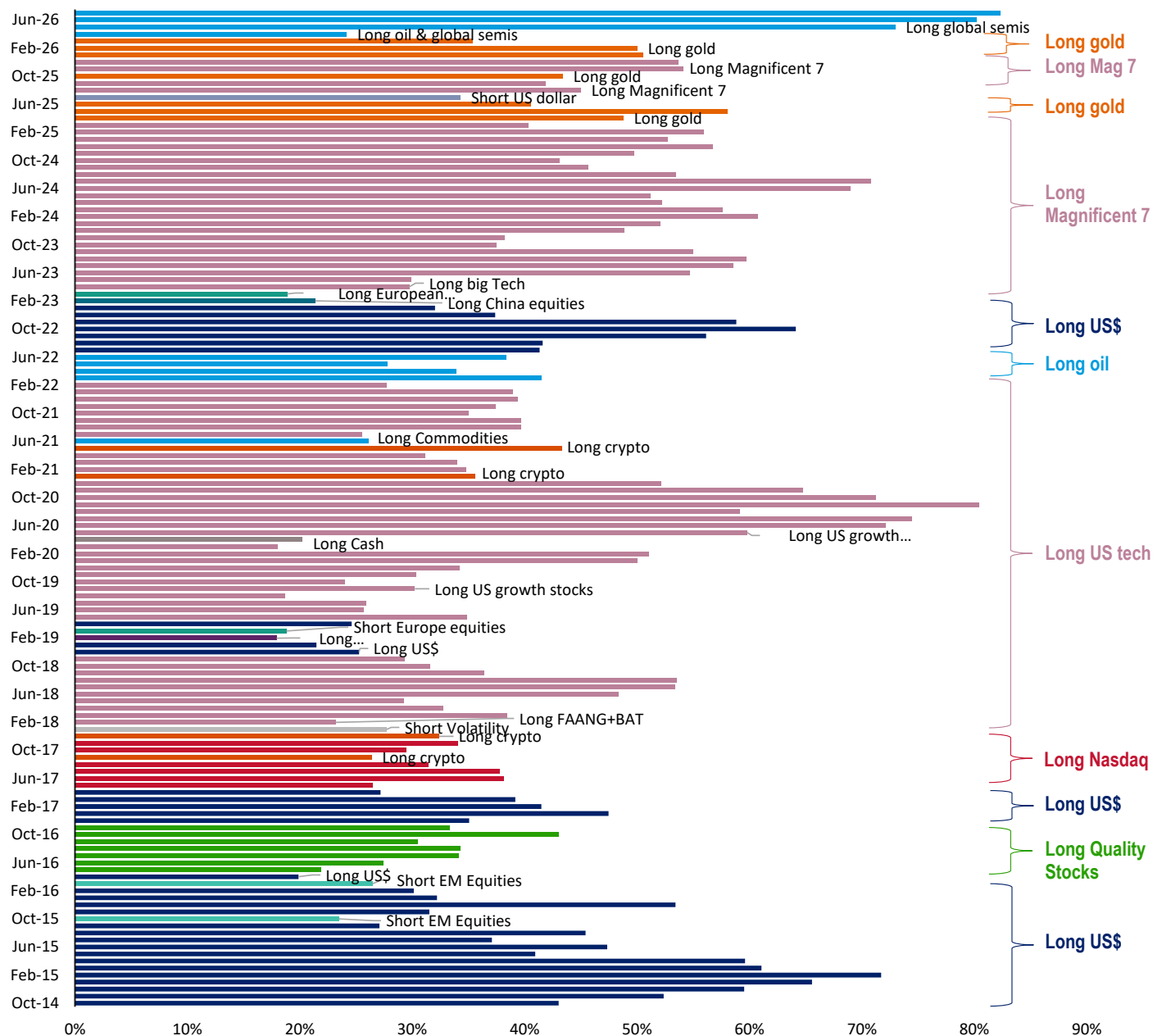
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- This chart shows the full history of the biggest “tail risk” for markets from BofA’s monthly Global Fund Manager Survey.
- The dominant concerns of investors since 2011 have been Eurozone debt, Chinese growth, populism, quantitative tightening & trade wars, global coronavirus, inflation, and central bank rate hikes; US\$ debasement, AI bubble, and geopolitics.
- The top tail risk is “AI bubble” (45%) in July.



Chart 23: Evolution of Global FMS “most crowded trade”

History of Global FMS “most crowded trade” answers



Source: BofA Global Fund Manager Survey

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- This chart shows the full history of the most “crowded trade” according to BofA’s monthly Global Fund Manager Survey.
- The market leadership has been relatively narrow since 2013, shifting from high yielding debt; long US\$; long Quality; long Tech; long Emerging Markets; long US Treasuries, long US tech & growth stocks, long Bitcoin, long commodities, long tech, long commodities, long US dollar, long Magnificent Seven, short US dollar, long gold, long oil, long global semiconductors.
- The #1 FMS most crowded trade in July is long global semiconductors (82%) followed by long Magnificent 7 (7%), and long US dollar (4%).



BofA Global FMS Rules & Tools

The Global FMS Rules & Tools are designed to help investors determine risk appetite, rotation opportunities, and tactical entry points.

Table 2: BofA Global FMS Cash Rule and Bull & Bear Indicator

Current reading of BofA Global FMS Cash Rule and Bull & Bear Indicator

	Category	Current reading	Current signal
BofA Global FMS Cash Rule	Contrarian	3.6%	Sell
Buy global equities when cash at or above 5.0%; sell when cash at or below 4.0%			
BofA Bull & Bear Indicator	Contrarian	9.4	Sell
Buy global equities when the indicator falls below 2.0; sell when it rises above 8.0			

Source: BofA Global Investment Strategy

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Disclaimer: The indicators identified as BofA Global FMS Cash Rule and BofA Bull & Bear Indicator above are intended to be indicative metrics only and may not be used for reference purposes or as a measure of performance for any financial instrument or contract, or otherwise relied upon by third parties for any other purpose, without the prior written consent of BofA Global Research. These indicators were not created to act as a benchmark.

For full details please see: Global Investment Strategy: The BofA Global FMS Rules & Tools, 12 November 2020 and the [Global Investment Strategy: BofA Bull & Bear Indicator revamp 11 December 2025](#)



FMS Investors on the Macro, Risks & AI

Chart 24: Net % of FMS investors who see a stronger global economy in next 12 months

Net % of FMS investors expecting stronger economy



Source: BofA Global Fund Manager Survey

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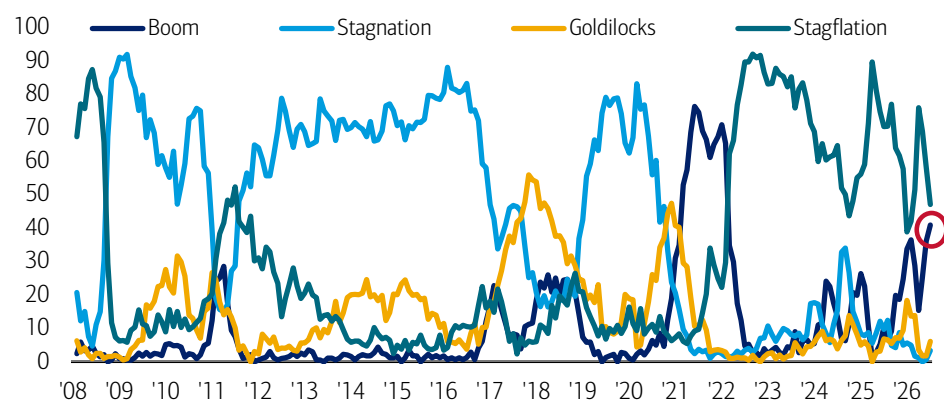
On the macro...

July FMS showed net 21% of investors expecting *stronger* economic growth in the next 12 months, up from net 1% expecting *weaker* economic growth last month.

Growth expectations have risen to the strongest since Feb'26.

Chart 25: How FMS investors would describe the global economy over the next 12 months

FMS expectations for the global economy over the next 12 months?



Source: BofA Global Fund Manager Survey.

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Asked about expectations for the global economy in the next 12 months...

47% of FMS investors say they expect “stagflation” (below-trend growth & above-trend inflation), down from 58% a month ago.

In contrast, 41% say “boom” (above-trend growth & above-trend inflation), up from 36% and the highest since Feb'22.

Expectations for “goldilocks” and “stagnation” remain very low.

Chart 26: Net % of FMS investors that expect higher global CPI

Net % of FMS investors expecting higher inflation



Source: BofA Global Fund Manager Survey.

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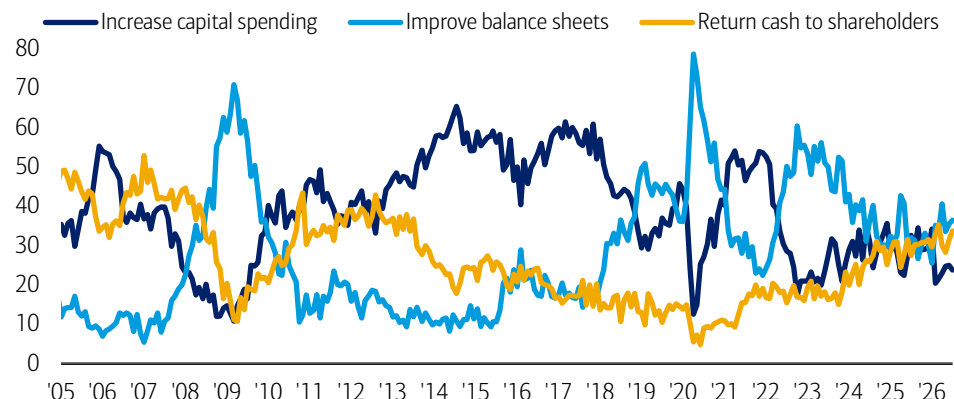
Net 4% of FMS investors expect global CPI to be *lower* in 12 months' time... vs net 45% *higher* last month.

Inflation expectations are the lowest since Jan'25.



Chart 27: What would you most like to see companies do with cash flow?

What FMS investors would most like to see companies do with cash flow



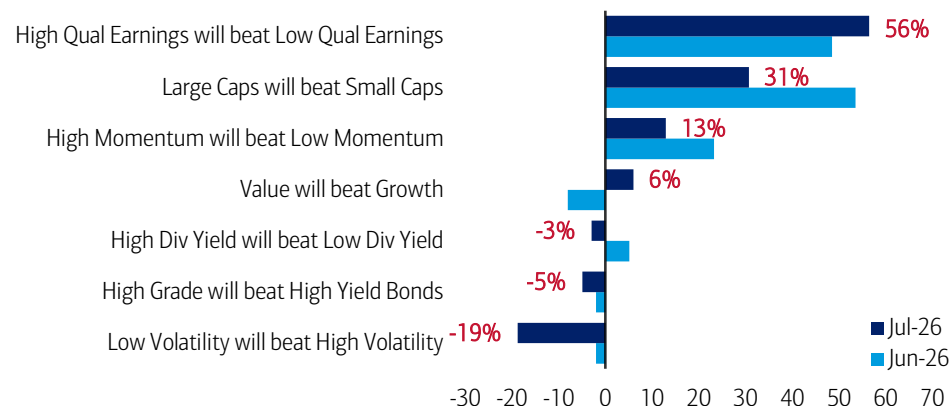
Source: BofA Global Fund Manager Survey.

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Asked what companies should do with cash flow... 34% said "return cash to shareholders," 36% said "improve balance sheets," and 24% said "improve capital spending."

Chart 28: Expectations for investment performance over the next 12 months

Over the next 12 months, net % FMS investors think...



Source: BofA Global Fund Manager Survey

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Per July FMS...

Net 56% say high-quality earnings will outperform low-quality earnings (from 48%).

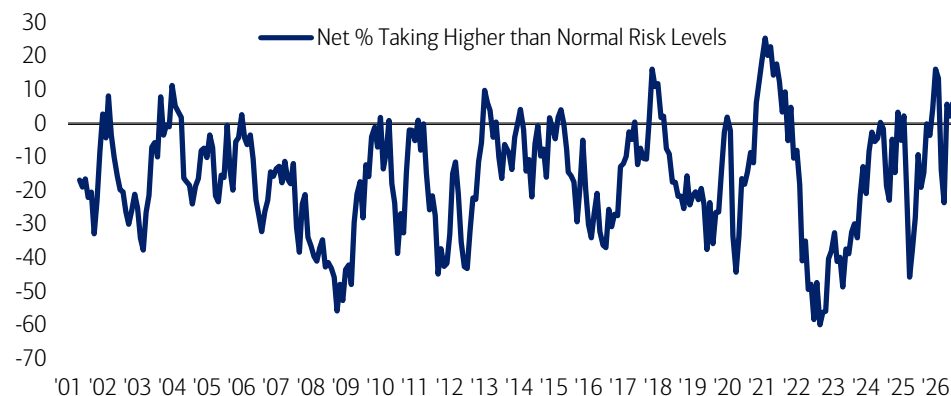
Net 13% say high momentum will beat low momentum (from 23%).

Net 6% say value will beat growth, from 8% saying growth will beat value last month.

Net 3% say low-dividend yield will outperform high-dividend yield, for the first time since May'17. Last month 5% said high-dividend yield will outperform low-dividend yield.

Chart 29: FMS investors taking higher than normal risk levels

What level of risk do you think you're currently taking relative to your benchmark?



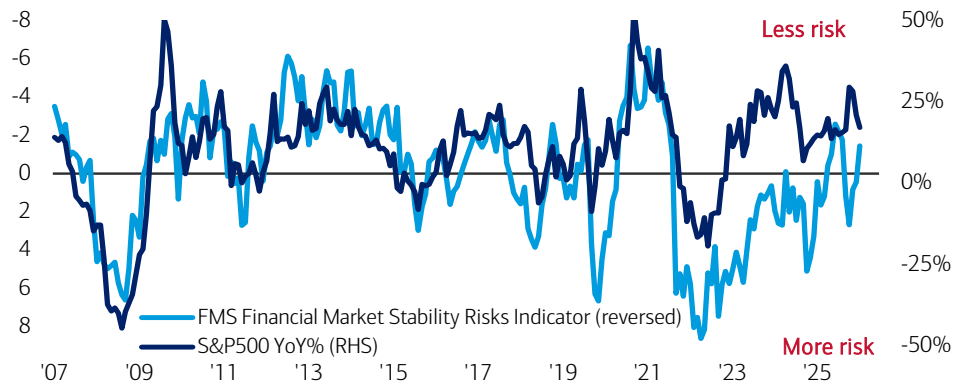
Source: BofA Global Fund Manager Survey

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FMS investors are taking net 6% higher than normal risk levels (vs 2% last month).

Chart 30: FMS Financial Market Stability Risks Indicator at -1.4

FMS Financial Market Stability Risks Indicator vs S&P 500 YoY %



Source: BofA Global Fund Manager Survey, Bloomberg

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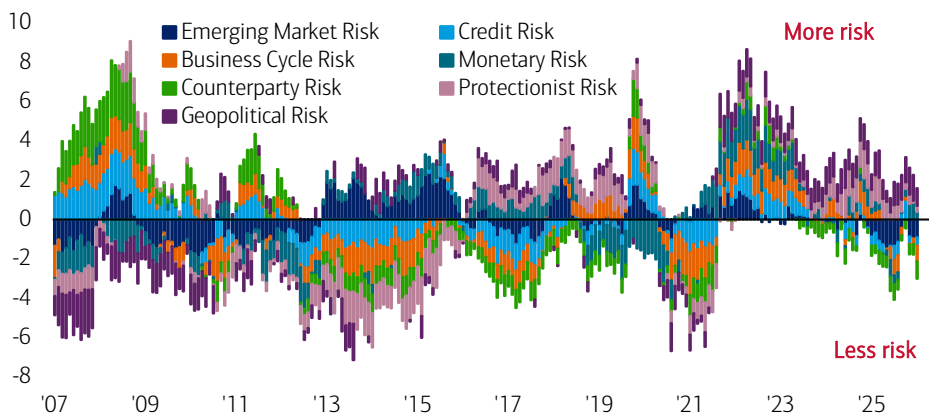
FMS Financial Market Stability Risks Indicator falls to -1.4 from 0.5.

The FMS Financial Market Stability Risks Indicator is intended to be an indicative metric only and may not be used for reference purposes or as a measure of performance for any financial instrument or contract, or otherwise relied upon by third parties for any other purpose, without the prior written consent of BofA Global Research. This indicator was not created to act as a benchmark.

More info and methodology on the FMS Financial Market Stability Risks Indicator can be found in the [Nov'22 Global FMS](#).

Chart 31: FMS rating of potential risks to Financial Market Stability

Components of the FMS Financial Market Stability Risks Indicator



Source: BofA Global Fund Manager Survey

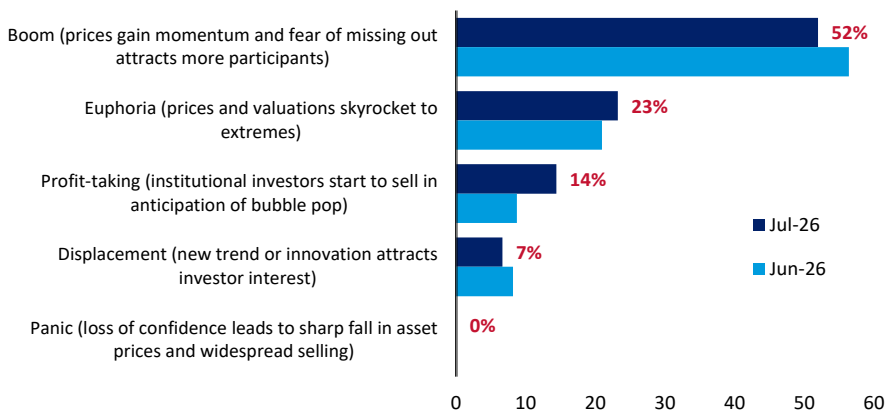
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The chart shows the individual z-scores of each response to how FMS investors rated potential risks to financial market stability since '07.

In July, 2 risk factors (out of 7) increased relative to the previous month...emerging and protectionist.

Chart 32: 52% of FMS investors say AI stocks are in "boom" part of cycle

Which of the following stages of an investment boom/bubble cycle are AI stocks currently in?



Source: BofA Global Fund Manager Survey

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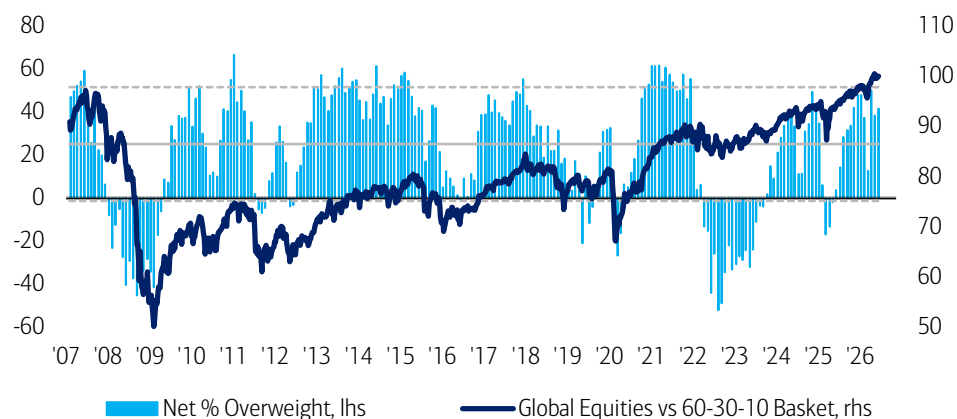
Asked what stage of the investment cycle AI stocks are currently in, 52% say "boom" (i.e. FOMO = more buyers), while 23% say "euphoria" (i.e. valuations in 'danger zone').



FMS Asset Allocation

Chart 33: Net % AA Say they are overweight Equities

Net% of FMS investors overweight equities



Source: BofA Global Fund Manager Survey, Datastream

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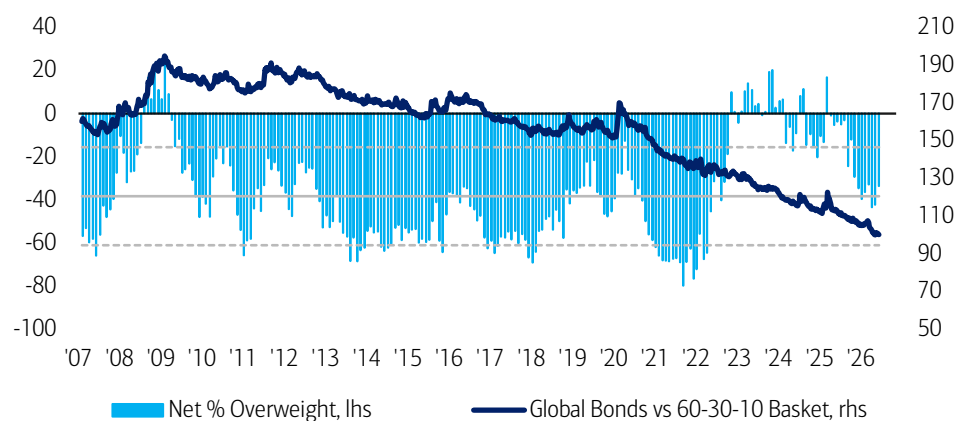
On asset allocation...

FMS equity allocation increased to net 42% OW, from net 38% OW last month.

Current allocation is 0.6 stdev above its long-term average.

Chart 34: Net % AA Say they are overweight Bonds

Net% of FMS investors overweight bonds



Source: BofA Global Fund Manager Survey, Datastream

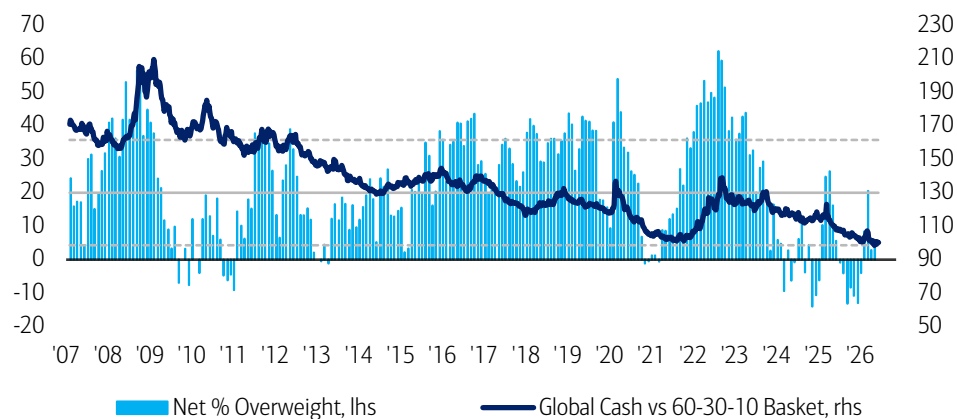
BofA GLOBAL RESEARCH

FMS bond allocation increased to net 34% UW, vs net 42% UW last month.

Current allocation is 0.2 stdev above its long-term average.

Chart 35: Net % AA Say they are overweight Cash

Net% of FMS investors overweight cash



Source: BofA Global Fund Manager Survey, Datastream

BofA GLOBAL RESEARCH

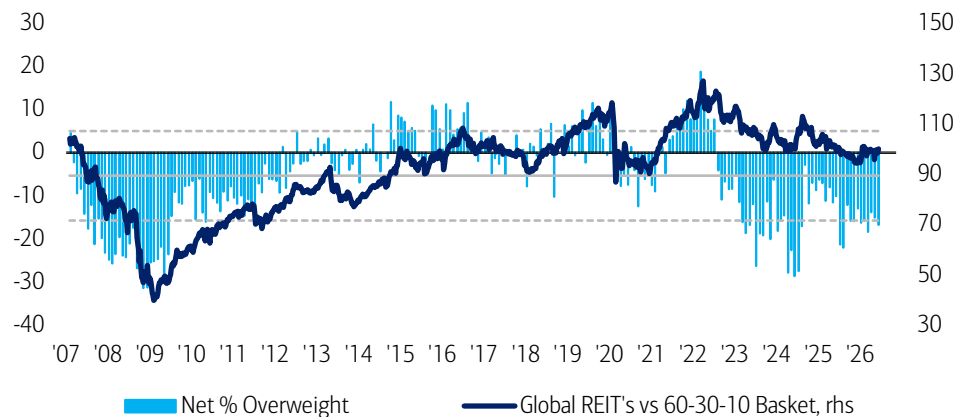
FMS cash allocation is neutral, down from net 5% OW a month ago.

Current allocation is 1.3 stdev below its long-term average.



Chart 36: Net % AA Say they are overweight Real Estate

Net% of FMS investors overweight Real Estate



Source: BofA Global Fund Manager Survey, Datastream

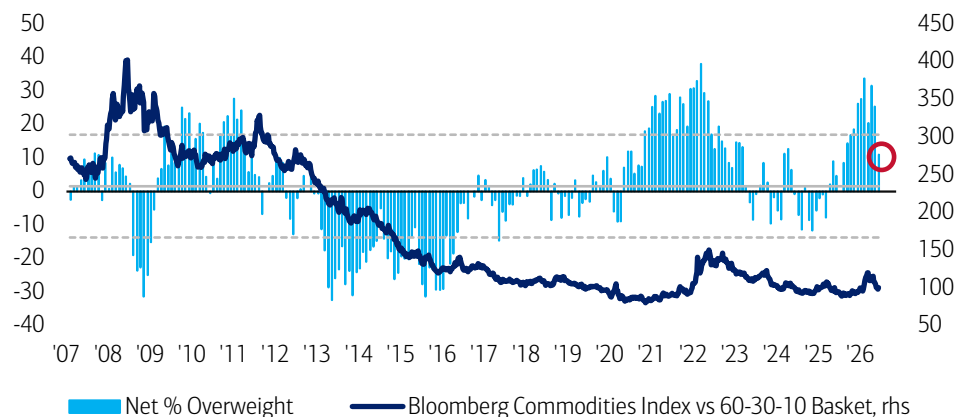
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FMS real estate allocation is net 17% UW (vs net 15% UW one month ago).

Current allocation is 1.1 stdev below its long-term average.

Chart 37: Net % AA Say they are overweight Commodities

Net% of FMS investors overweight commodities



Source: BofA Global Fund Manager Survey, Datastream.

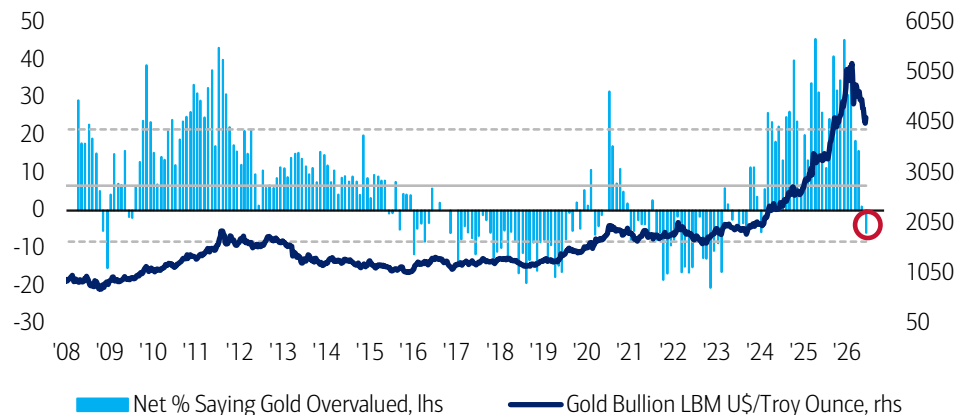
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FMS commodities allocation is net 11% OW, down from net 25% OW last month.

Current allocation is 0.6 stdev above its long-term average.

Chart 38: Gold Valuation and Gold Price (\$/oz)

Net% of FMS investors saying gold overvalued



Source: BofA Global Fund Manager Survey, Datastream.

BofA GLOBAL RESEARCH

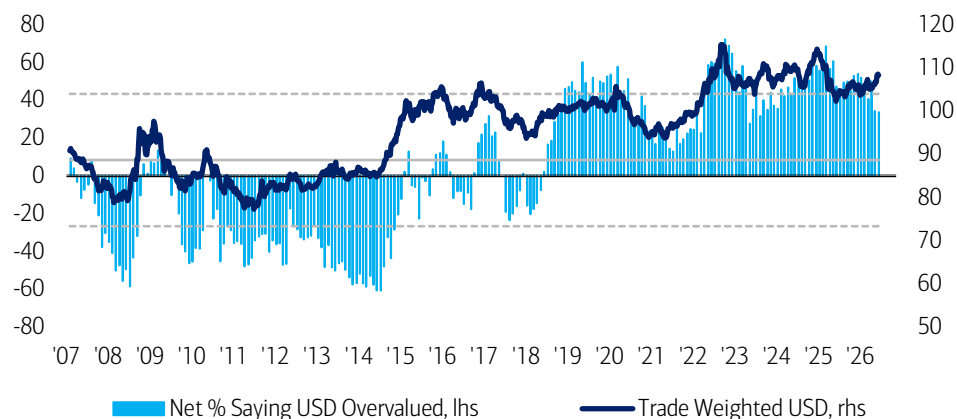
Net 6% of FMS investors say gold is undervalued, the lowest since Mar'23 (from 1% saying overvalued last month).



Currencies extremes

Chart 39: USD Valuation and Trade weighted index

Net% of FMS investors saying USD overvalued



Source: BofA Global Fund Manager Survey, Datastream

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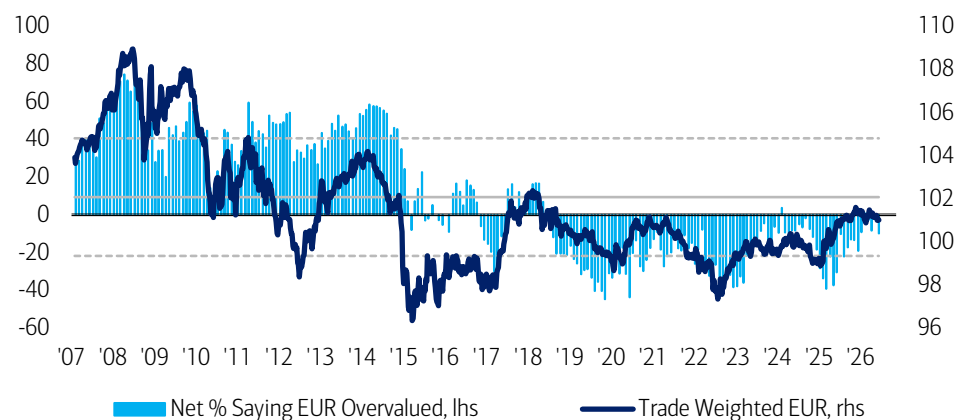
On currencies...

Net 34% of FMS investors say US\$ is overvalued, unchanged from a month ago.

Current valuation is 0.7 stdev above the long-term average.

Chart 40: EUR valuation and Trade weighted index

Net% of FMS investors saying EUR overvalued



Source: BofA Global Fund Manager Survey, Datastream

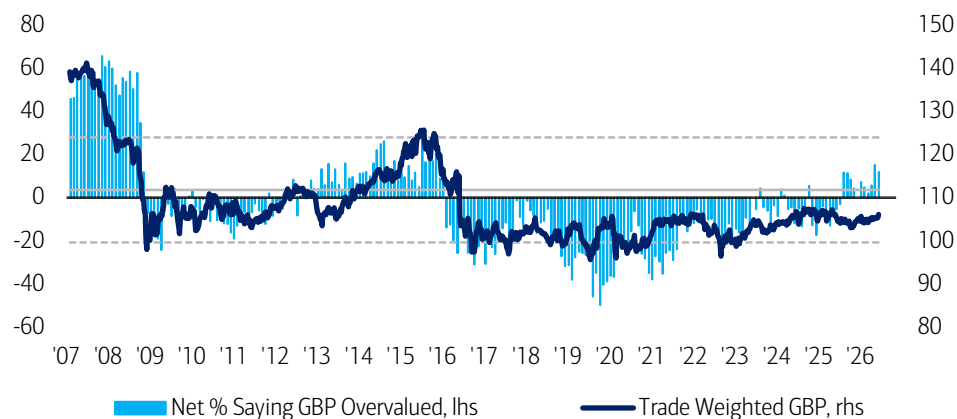
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Net 10% of FMS investors say EUR is undervalued (vs neutral last month).

Current valuation is 0.6 stdev below the long-term average.

Chart 41: GBP valuation and Trade weighted index

Net % of FMS investors saying GBP overvalued



Source: BofA Global Fund Manager Survey, Datastream

BofA GLOBAL RESEARCH

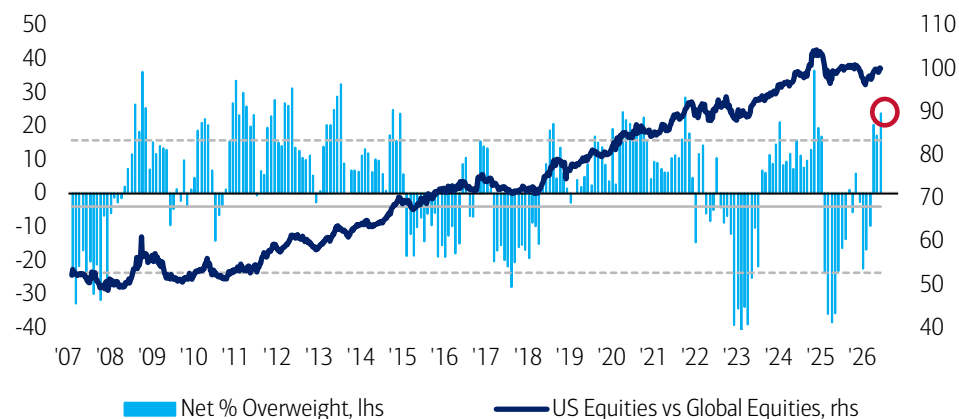
Net 12% of FMS investors think GBP is overvalued (vs 15% a month ago).

Current valuation is 0.3 stdev above the long-term average.

Investor Regional Equity Allocation

Chart 42: Net % AA Say they are overweight US Equities

Net% of FMS investors overweight US equities



Source: BofA Global Fund Manager Survey, Datastream

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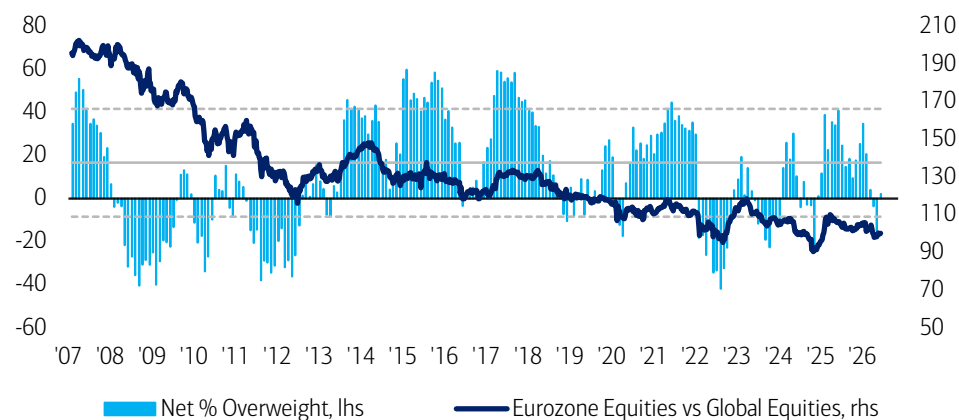
On regional equity allocation...

FMS investors are net 24% OW US equities, the highest since Dec'24 (vs net 17% OW last month).

Current allocation is 1.4 stdev above its long-term average.

Chart 43: Net % AA Say they are overweight Eurozone Equities

Net% of FMS investors overweight EU equities



Source: BofA Global Fund Manager Survey, Datastream

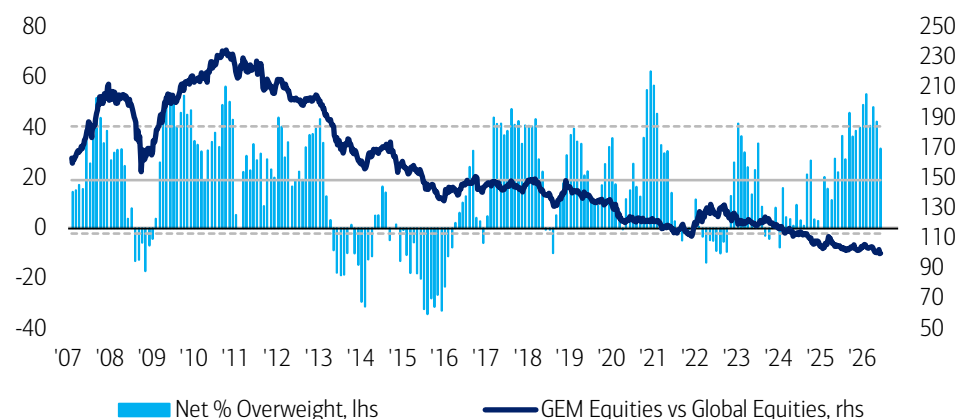
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FMS investors are net 2% OW Eurozone equities, from net 15% UW a month ago.

Current allocation is 0.5 stdev below its long-term average.

Chart 44: Net % AA Say they are overweight EM Equities

Net% of FMS investors overweight EM equities



Source: BofA Global Fund Manager Survey, Datastream

BofA GLOBAL RESEARCH

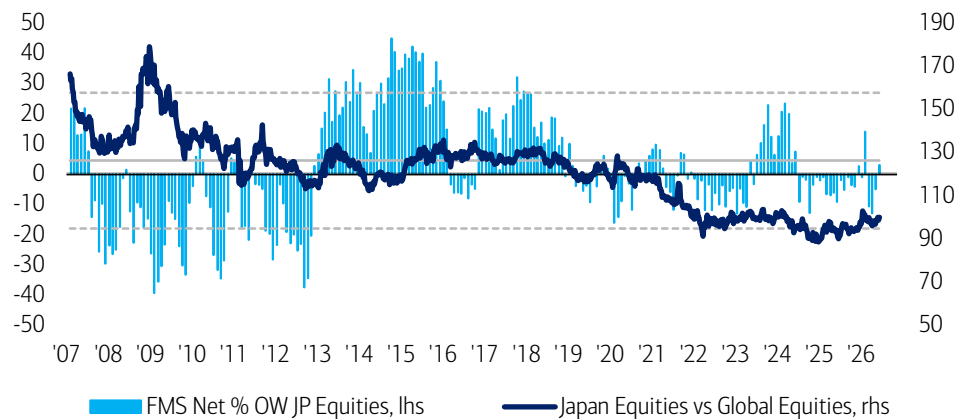
FMS investors are net 32% OW EM equities (from net 42% OW a month ago).

Current allocation is 0.6 stdev above its long-term average.



Chart 45: Net % AA Say they are overweight Japanese Equities

Net% of FMS investors overweight Japanese equities



Source: BofA Global Fund Manager Survey, Datastream

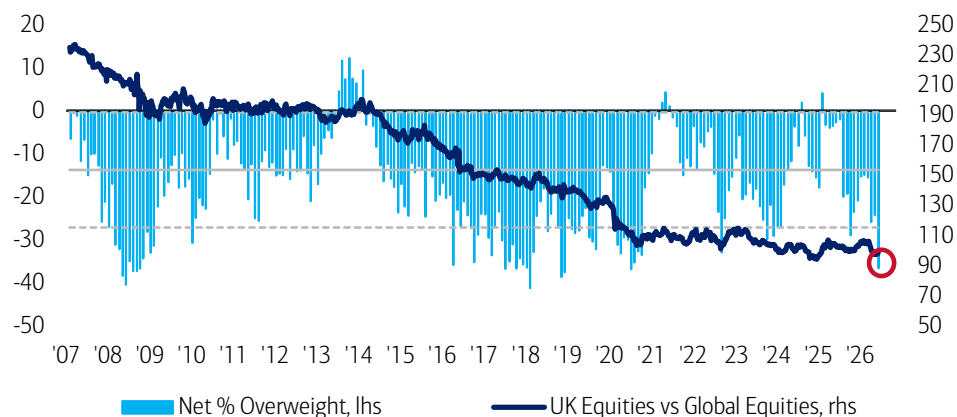
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FMS investors are net 3% OW Japanese equities (vs net 5% UW last month).

Current allocation is in line with its long-term average.

Chart 46: Net % AA Say they are overweight UK Equities

Net% of FMS investors overweight UK equities



Source: BofA Global Fund Manager Survey, Datastream

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FMS investors are net 37% UW UK equities, the most UW since Aug'20 (from 24% UW last month).

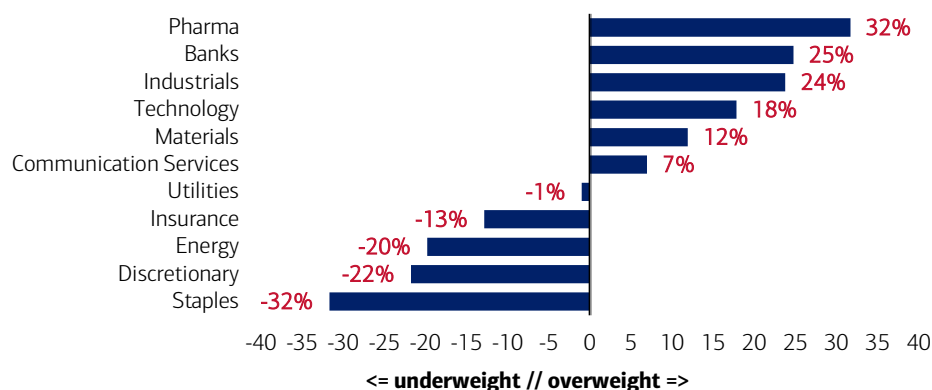
FMS allocation on UK equities has turned overweight only twice since Aug'21.

Current allocation is 1.8 stdev below its long-term average.

Investor Sector Allocation

Chart 47: Global Sector Sentiment

Net % overweight (% saying overweight - % saying underweight)



Source: BofA Global Fund Manager Survey

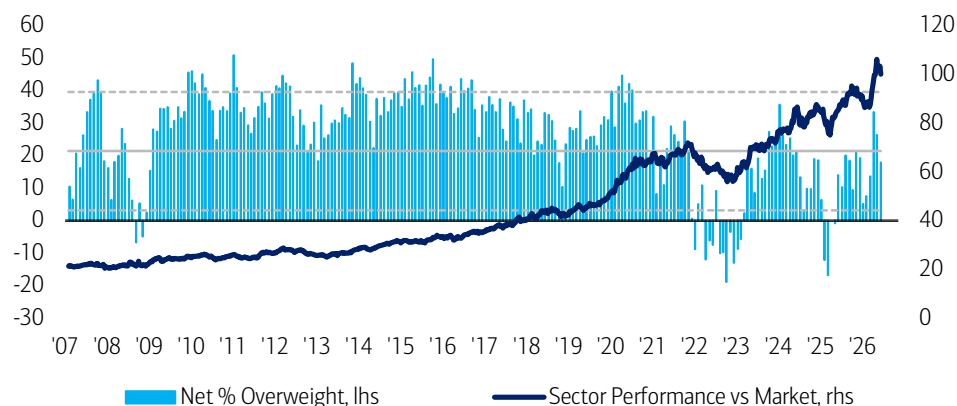
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This month FMS investors increased allocation to healthcare, industrials, discretionary vs reduced allocation to energy, communications, staples.

FMS investors are the most (net) overweight pharma, banks industrials, and most (net) underweight staples, discretionary, energy.

Chart 48: Global Technology

Net % of FMS investors overweight technology



Source: BofA Global Fund Manager Survey, Datastream

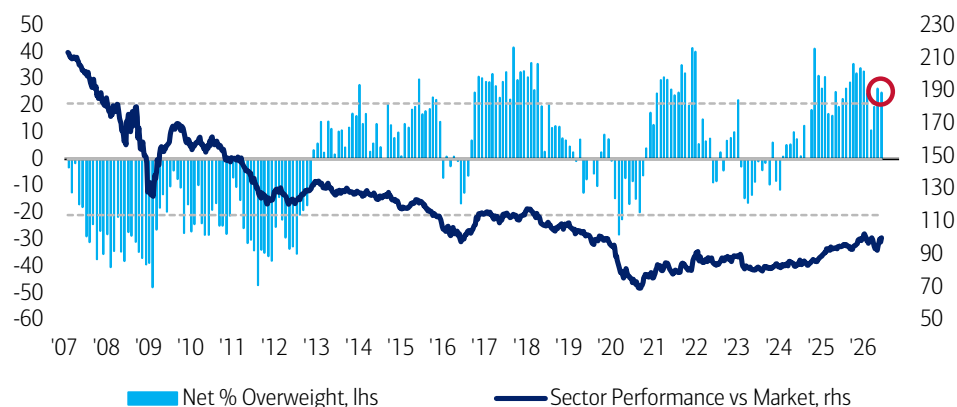
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FMS investors are net 18% OW technology (down from net 26% OW a month ago).

Current reading is 0.2 stdev below its long-term average.

Chart 49: Global Banks

Net % of FMS investors overweight banks



Source: BofA Global Fund Manager Survey, Datastream

BofA GLOBAL RESEARCH

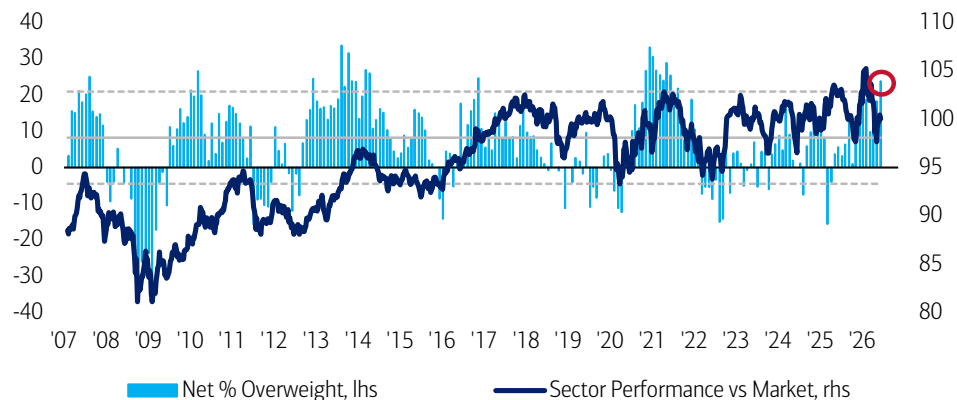
FMS investors are net 25% OW banks (from net 26% OW a month ago).

Current reading is 1.2 stdev above its long-term average.



Chart 50: Global Industrials

Net % of FMS investors overweight industrials



Source: BofA Global Fund Manager Survey, Datastream

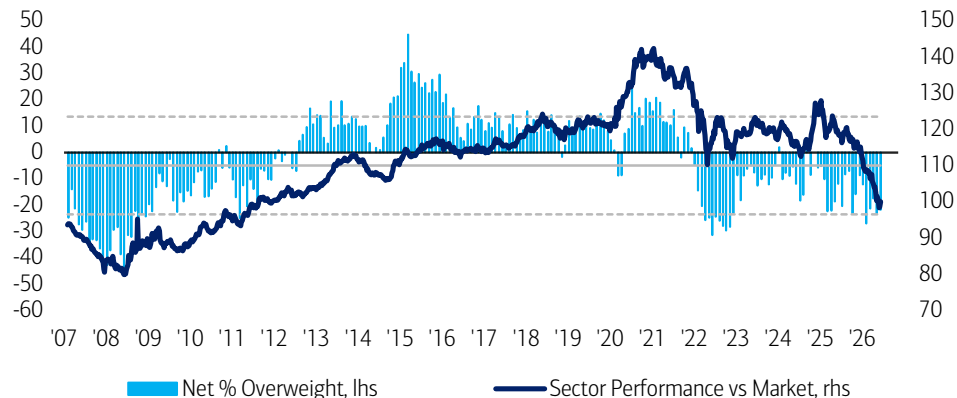
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FMS investors are net 24% OW industrials (up from net 18% OW a month ago).

Current reading is 1.3 stdev above its long-term average.

Chart 51: Global Consumer Discretionary

Net % of FMS investors overweight consumer discretionary



Source: BofA Global Fund Manager Survey, Datastream

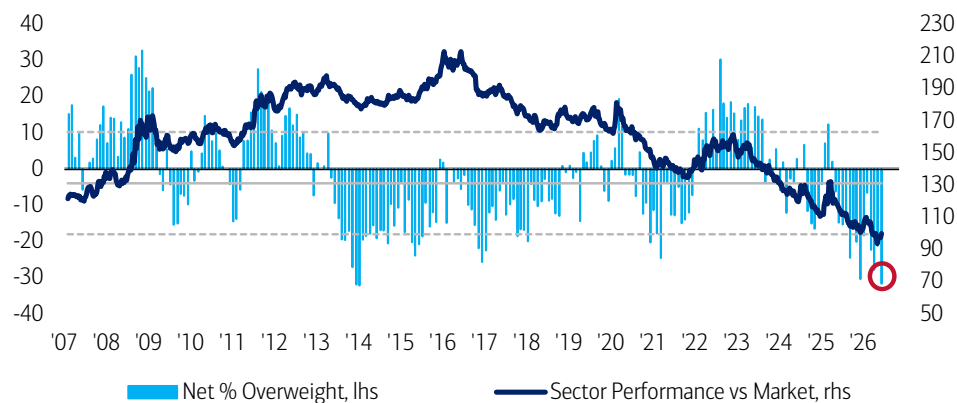
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FMS investors are net 22% UW discretionary, vs net 23% UW a month ago.

Current reading is 0.9 stdev below its long-term average.

Chart 52: Global Consumer Staples

Net % of FMS investors overweight consumer staples



Source: BofA Global Fund Manager Survey, Datastream

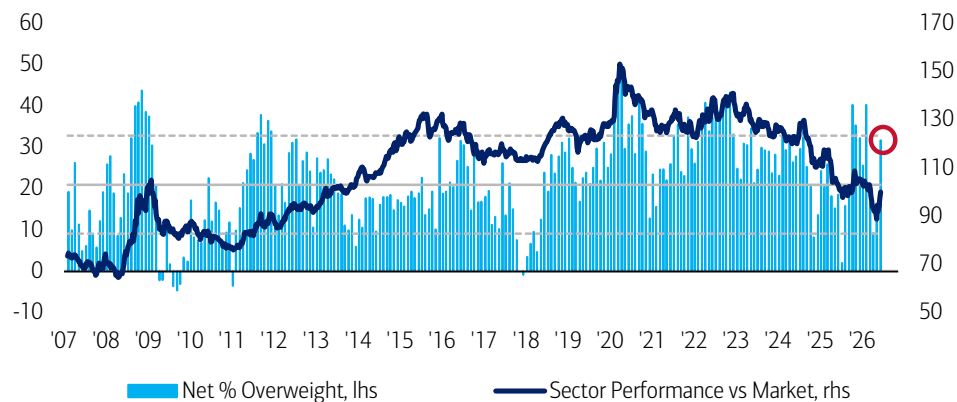
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FMS investors are net 32% UW staples (vs net 21% UW a month ago), the most UW since Feb'14.

Current reading is 2.0 stdev below its long-term average.

Chart 53: Global Healthcare

Net% of FMS investors overweight healthcare



Source: BofA Global Fund Manager Survey, Datastream

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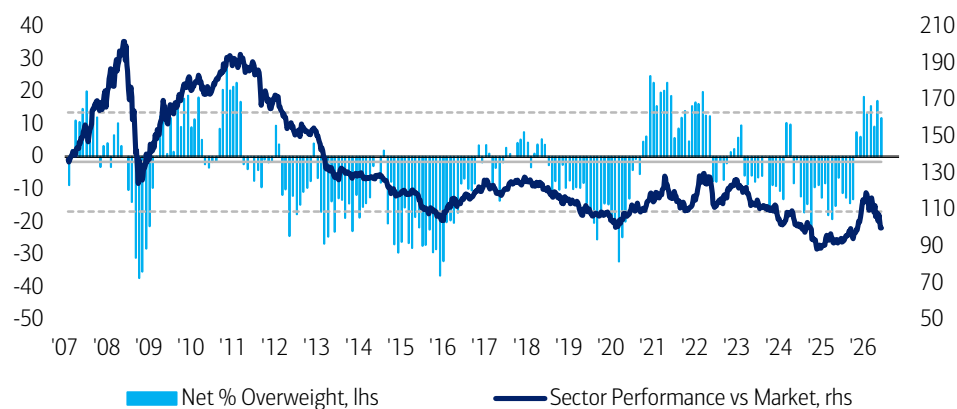
FMS investors are net 32% OW healthcare, from net 14% OW last month.

Allocation to healthcare has been consistently overweight since Jan'18.

Current reading is 0.9 stdev above its long-term average.

Chart 54: Global Materials

Net% of FMS investors overweight materials



Source: BofA Global Fund Manager Survey, Datastream

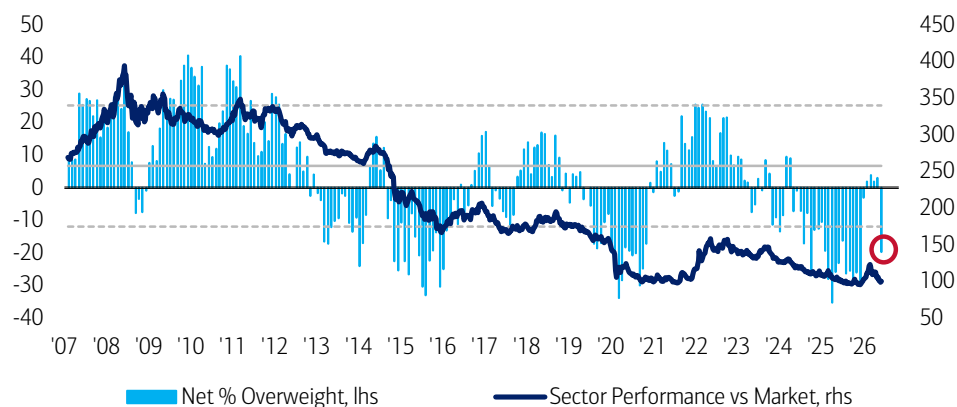
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FMS investors are net 12% OW materials (vs net 17% OW last month).

Current reading is 1.0 stdev above its long-term average.

Chart 55: Global Energy

Net% of FMS investors overweight energy



Source: BofA Global Fund Manager Survey, Datastream

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FMS allocation to energy is net 20% UW, most UW since Jan'26 (from net 3% OW).

Current reading is 1.4 stdev below its long-term average.



Global survey demographics data

Table 3: Position / Institution / Approach to Global Equity Strategy

Position / Institution / Approach to Global Equity Strategy

	Jul-26	Jun-26	May-26
Structure of the panel - by position			
Chief Investment Officer	26	30	30
Asset Allocator / Strategist / Economist	56	59	53
Portfolio Manager	91	76	75
Other	8	7	12
Structure of the Panel - by expertise			
Global Specialists Only	101	99	108
Regional Specialists with a Global View	80	73	62
Total # of Respondents to Global Questions	181	172	170
Which of the Following Best Describes the Type of Money You are Running?			
Institutional funds (e.g. pension funds / insurance companies)	52	47	43
Hedge funds / proprietary trading desks	16	11	13
Mutual funds / unit trusts / investment trusts	90	83	80
None of the above	23	31	34
What Do You Estimate to be the Total Current Value of Assets Under Your Direct Control?			
Up to \$250mn	27	27	26
Around \$500mn	20	17	19
Around \$1bn	30	32	30
Around \$2.5bn	23	21	21
Around \$5bn	16	13	11
Around \$7.5bn	4	4	5
Around \$10bn or more	27	27	27
No funds under my direct control	34	31	31
Total (USD bn)	484	465	461
What best describes your investment time horizon at this moment?			
3 months or less	53	57	51
6 months	59	42	45
9 months	16	14	19
12 months or more	50	55	50
Weighted average	7.1	7.2	7.2
Don't know	3	4	5

Source: BofA Global Fund Manager Survey

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Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster ^{R1}
Buy	≥ 10%	≤ 70%
Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

^{R1} Ratings dispersions may vary from time to time where BofA Global Research believes it better reflects the investment prospects of stocks in a Coverage Cluster.

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